

INDIA'S PROMINENCE AS A GLOBAL FINTECH LEADER

With the second-highest number of internet users worldwide, India has quickly embraced financial technology, making it one of the fastest-growing fintech markets globally.

Fintech, which is the use of technology to provide financial services, has been a rapidly expanding sector in India. The unexpected growth of India's fintech sector can be traced back to the government's initiative for a cashless economy, which compelled the adoption of digital payments during the time of demonetization. Subsequently, the COVID-19 pandemic induced the need for the digitalization of financial services, which stoked the demand for fintech enterprises. The Reserve Bank of India and the Indian Banks' Association launched the National Payments Corporation of India (NPCI), which served as the foundation for many payment systems. Indian fintechs that are payment-focused have expanded significantly in recent years, thanks in large part to the United Payment Interface (UPI). Without a doubt, payment systems have led the Indian fintech industry.

India's FinTech market, valued at $50 billion in 2021, is expected to reach $150 billion by 2025, driven by key segments like payments, digital lending, insurtech, and wealth tech. The payments segment is transforming towards a cashless economy, with transaction volume expected to reach $100 trillion by 2030, driven by the widespread adoption of digital payment platforms, with UPI leading.

Digital lending, valued at $350 billion by 2023, is expected to significantly increase due to the transformative power of FinTech in democratizing credit access. India's insurance market is expected to grow 15 times by 2030, transforming insurance perception and access through AI-powered risk assessment and micro-insurance products. WealthTech, fueled by retail investors' growing base and predicted to reach $237 billion by 2030, offers accessible investment opportunities through robo-advisors, micro-investing platforms, and personalized wealth management tools. India's fintech industry is thriving, with 17 unicorns raising $34 billion in funding from 2014 to 2022, showcasing investor confidence and global recognition of its fintech prowess. India's FinTech sector has secured a 14% global funding share, ranking second in deal volume. The market is expected to reach $2.1 trillion by 2030. Indian startups raised $5.65 billion in 2022. UPI has experienced significant growth, reaching 10 billion transactions in 2023, marking a significant shift in digital transactions, with daily counts projected to reach 1 billion by 2025. India's FinTech success is attributed to a robust regulatory framework, the India Stack, and the JAM Trinity, including Jan Dhan Yojana, Aadhaar, and mobile connectivity. These initiatives have fostered collaboration and improved financial inclusion, with the Jan Dhan Yojana enrolling over 508.9 million beneficiaries and Aadhaar generating 1.3 billion Aadhaar cards. India's financial inclusion has grown significantly, from 53% in 2014 to 78% in 2021, driven by initiatives like the Jan Dhan Yojana and the Reserve Bank of India's promotion of financial literacy. The Reserve Bank of India has set ambitious goals for its Payments Vision 2025, including a threefold increase in digital payment transactions, a 50% CAGR in mobile-based transactions, a 150% increase in PPI transactions, and card acceptance infrastructure expansion.

The Account Aggregator Framework, with 23 banks, enables consent-based financial information sharing between Financial Information Providers (FIPs) and Financial Information Users (FIUs), enabling over 1.1 billion bank accounts to share data, enhancing accessibility, and digital invoice financing much-needed credit to the MSME sector.

The Indian government is promoting Gandhinagar as a top FinTech destination, implementing initiatives like a dedicated Fintech Park, regulatory ease, and government-backed programs to support innovation and growth and to support fintech startups and companies.

India's Fintech Global Prowess

According to a study conducted by the World Economic Forum at its Annual Meeting 2024 in Davos, India is one of the most significant countries where fintech companies are operating. The country ranks alongside the UK, the US, and Singapore for hosting a thriving cluster of fintech headquarters. The global fintech industry continues to grow strongly, with customer growth rates averaging above 50% across industry verticals and regions. The primary driver of this growth is consumer demand, and fintechs are offering tailored financial services and products to traditionally underserved segments of the population. The report found that most financial technology companies hold a positive view of their regulatory environment, with 63% rating it as adequate. However, a significant proportion of fintechs found regulatory compliance challenging, and licensing and registration processes problematic. In the first quarter of 2024, India's fintech sector saw an impressive growth rate of 59%, with a total funding of $551 million. This is an increase from $346 million in Q4 2023. The growth is attributed to the country's dynamism and innovation, as well as the importance of nurturing startups and R&D. Leading investors in the sector include Peak XV Partners, Y Combinator, and LetsVenture.